INFO5990

Professional Practice in IT

Week 07: Organisational Change Management

Semester 2, 2026

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Acknowledgement of Country

I would like to acknowledge the Traditional Owners of Australia and recognise their continuing connection to land, water and culture. I am currently on the land of the Gadigal people of the Eora nation and pay my respects to their Elders, past, present and emerging.

I further acknowledge the Traditional Owners of the country on which you are on and pay respects to their Elders, past, present and future.



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Agenda

- Introduction
- Change
- Change Management Models/Frameworks

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Introduction



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Introduction to Change Management

- Change Management (CM) is the **structured approach to guiding individuals, teams, and organizations from their current state to a desired future state**. It focuses not just on *what* is changing (new systems, processes, or structures), but *how people adopt and embrace that change*.

- Why does it matter in IT?
  - In IT projects, success isn't just about delivering the technology on time and on budget (that's project management).
  - True success comes when the *end-users adopt the new system or process*, integrate it into their daily work, and deliver business value.
  - Research shows that projects with excellent change management are **6x more likely to meet or exceed objectives** than those with poor CM.

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Project Management vs Change Management

Core Focus

UNIVERSITY INTRODUCES A NEW ONLINE LEARNING SYSTEM

⚙ PROJECT MANAGEMENT

Ensures the technical side of change is delivered.

Scope • time • cost • quality

👥 CHANGE MANAGEMENT

Ensures the people side of change is managed.

Adoption • engagement • mindset • behaviours

KEY IDEA: Example: A new learning system must be technically ready — AND staff/students must be ready to use it.

Overview | Core Focus | Goal | Scope | Success

Project Management vs Change Management

Goal

UNIVERSITY INTRODUCES A NEW ONLINE LEARNING SYSTEM

⚙ PROJECT MANAGEMENT

Deliver the solution.

“Is the new system built and working?”

👥 CHANGE MANAGEMENT

Deliver adoption of the solution.

“Are people actually using the new system?”

KEY IDEA: A project can finish successfully but the organisational change can still fail if users do not adopt it.

Overview | Core Focus | Goal | Scope | Success

Project Management vs Change Management

Scope

UNIVERSITY INTRODUCES A NEW ONLINE LEARNING SYSTEM

⚙ PROJECT MANAGEMENT

Planning • scheduling • budgeting • risk • resources • deliverables

Manages the work needed to create and deploy the solution.

👥 CHANGE MANAGEMENT

Communication • training • stakeholder management • resistance

Manages the transition from the old way of working to the new way.

KEY IDEA: Think: project management prepares the SYSTEM; change management prepares the PEOPLE.

Project Management vs Change Management

Success Measure

UNIVERSITY INTRODUCES A NEW ONLINE LEARNING SYSTEM

⚙ PROJECT MANAGEMENT

Delivered on time, on budget and to scope?

Measures delivery performance.

CHANGE MANAGEMENT

Are people using it confidently, competently and consistently?

Measures adoption and behaviour change.

KEY IDEA: Best outcome: the solution is delivered correctly AND its intended benefits are realised through adoption.

Overview | Core Focus | Goal | Scope | Success

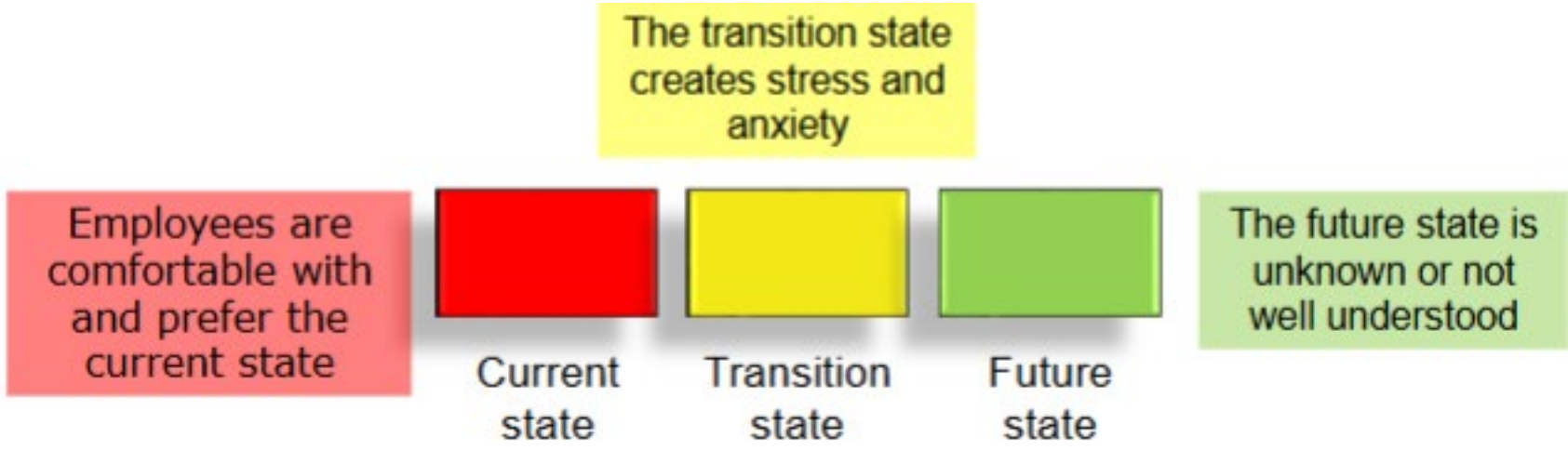
Change



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Change as a process

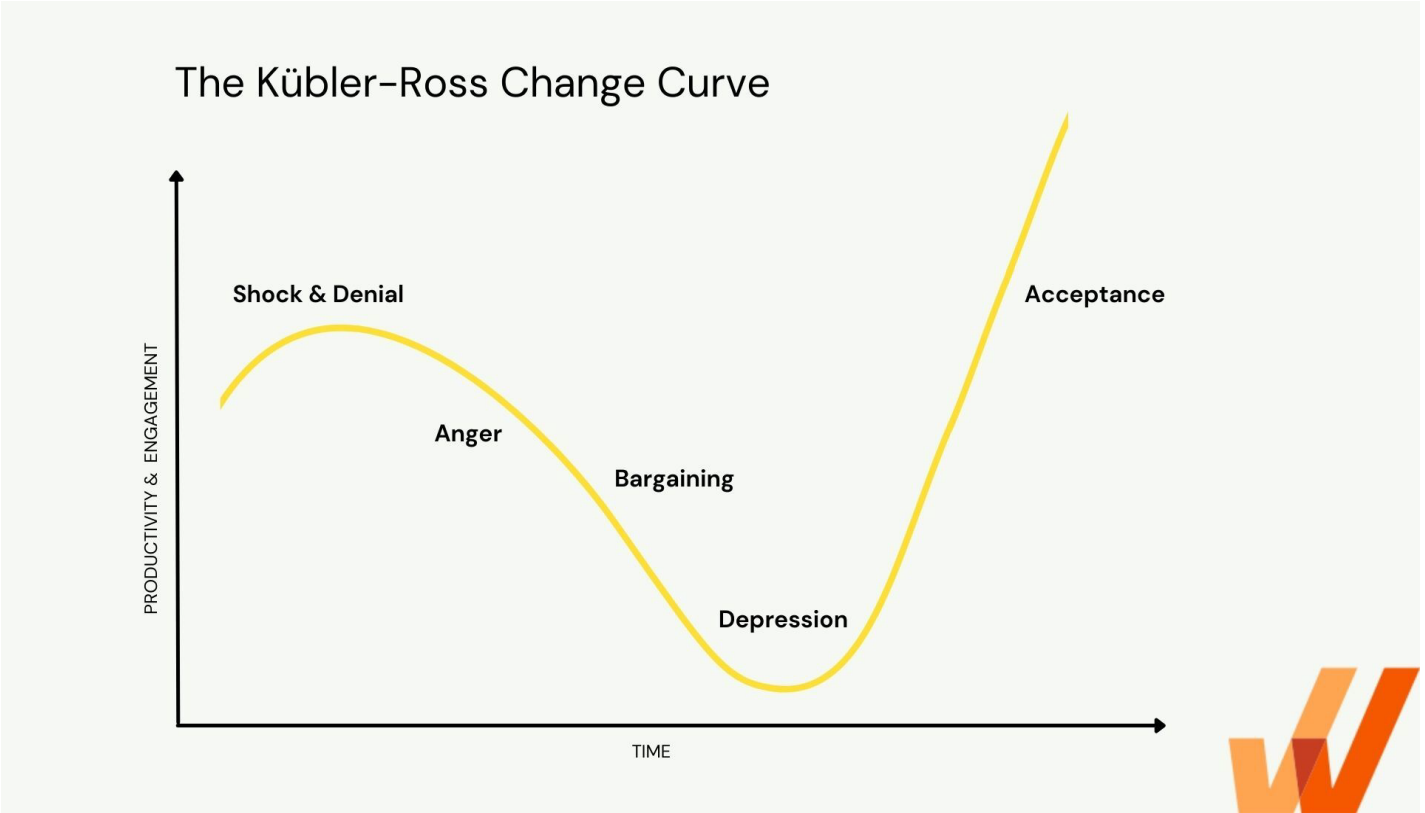
- The 3 states of change
  - Current state: where the organisation is today (comfort zone, existing processes).
  - Transition state: the “messy middle” where old ways are being abandoned but new ways aren’t yet stable.
  - Future state: the desired new reality where the change is fully adopted and embedded.



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The Kubler-Ross Change Curve

- People go through *predictable stages* when faced with change. Productivity and morale usually **drop before they improve**. Change managers anticipate this dip and support people through it.



(Malik, 2025)

The Kubler-Ross Change Curve

- Stages of the Change curve:
  - Shock and Denial
    - **In IT:** *"The old system works fine. This project will never happen."*
    - **CM Focus:** Provide **clear information** about why the change is happening.
  - Anger
  - **In IT:** *"Why are we forced to use this? Management doesn't understand our work!"*
    - **CM Focus:** Encourage **listening and empathy**; give people a safe channel to voice concerns.
  - Bargaining
    - **In IT:** *"Can't we keep using the old CRM for some tasks? Maybe run both in parallel?"*
    - **CM Focus:** Provide **clarity** on non-negotiables and offer **small flexibilities** where possible.

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The Kubler-Ross Change Curve

- Stages of the Change curve:
  - Depression
    - **In IT:** *“This is too hard. Productivity is dropping. I can’t keep up.”*
    - **CM Focus:** Offer **training, coaching, and peer support**. Share quick wins to rebuild confidence.
  - Acceptance
    - **In IT:** *“Okay, I can see the benefits now. This system actually makes my job easier.”*
    - **CM Focus:** Reinforce positive behaviours, celebrate successes, embed the change into culture.

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Key implications for IT Projects

- **Transition state is the riskiest** → confusion, mistakes, drop in productivity.
- Change managers need to provide **communication, training, and support** to help people move through the curve.
- Success depends on moving the majority from **resistance** to **commitment** efficiently.

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Psychology of Change

- Why does psychology matter in IT Change?
  - Even the best-designed IT systems fail if **people resist** or refuse to adopt them.
  - Change creates **uncertainty** → humans are wired to seek stability, routine, and control.
  - Psychology helps us understand **why people resist** and **how to support them**.

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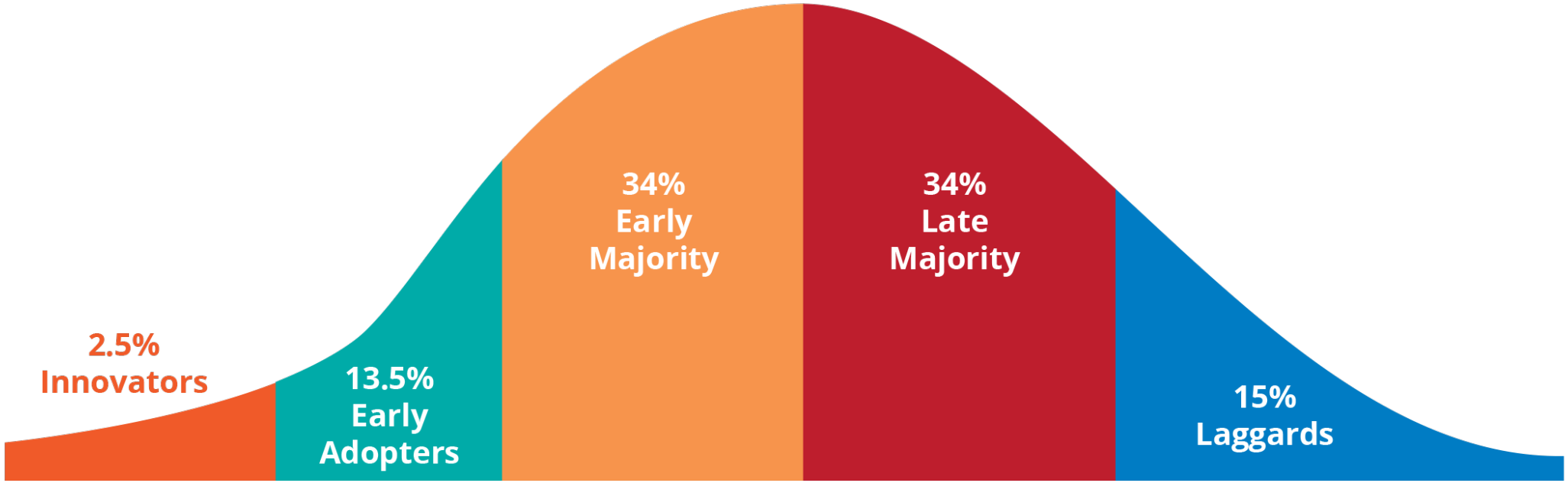
Common Psychological Responses

- **Fear of the Unknown** – *"What will this mean for my job?"*
- **Loss Aversion** – People value what they already have more than what they might gain.
- **Cognitive Dissonance** – Conflict between old habits and new expectations.
- **Status Quo Bias** – Preference to "keep things as they are."
- **Social Proof** – People adopt changes faster when they see peers/colleagues doing so.

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Adapting to change

- Everyone has a different pace of adapting to change. This can be seen through the Diffusion of Innovation Theory:
  - **Early adopters:** curious, motivated by innovation.
  - **Majority:** wait until they see proof of benefits.
  - **Laggards:** fear loss, need strong support to shift.



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Psychology of change – Theories and perspectives

- Change agents must be conscious of both a sender's mentality and the receiver's orientation.
- Employee resistance is the norm, not the exception. Expect some to never support the change.
- Visible and active sponsorship is not only desirable but necessary for success.
- Value systems have a direct impact on how employees react to change.
- The size of change determines how much and what kind of change management is needed.
- The "right" answer is not enough to successfully implement change.
- Employees go through the change process in stages and go through these stages as individuals.

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Supporting Psychology of Change

- **Empathy**: listen and acknowledge concerns.
- **Communication**: explain the “why,” not just the “what.”
- **Involvement**: give people a voice in shaping the change.
- **Training & Coaching**: reduce anxiety by building competence.
- **Reinforcement & Recognition**: reward early adopters, celebrate progress.

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Managing Change Effectively

- Employee Facing:
  - Executives and Senior Leaders
    - The decision makers who sponsor change.
  - Middle Managers and Supervisors
    - Act as coaches, helping their teams adapt.



- Enabling:
  - Change Management resource or team
    - They apply structured approaches to ensure the transition runs smoothly
  - Project team
    - The one responsible for integrating the change into daily operations
  - Support functions
    - HR, IT, and other specialists provide expertise

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Managing Change Effectively

- Core principles of Effective Change Management
  - **Clarity of Purpose:** Communicate the why (business case, benefits).
  - **Leadership Commitment:** Senior leaders must actively champion the change.
  - **Stakeholder Engagement:** Involve the right people early, listen to concerns.
  - **Structured Process:** Follow a proven framework (ADKAR, Kotter, etc.).
  - **Continuous Support:** Training, coaching, feedback channels throughout the transition.
- Key activities in IT Projects
  - Build awareness and desire: Explain why change is necessary
  - Develop capability: Provide training, job aids, and coaching
  - Reinforce adoption: Recognise early adopters, collect feedback, and adjust quickly

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Practical Strategies for IT Change

- **Communication Plan**:
  - Tailored messaging for executives, managers, end-users.
  - Multi-channel: town halls, FAQs, videos, Slack/Teams updates.
- **Stakeholder Mapping & Resistance Management**:
  - Identify “high influence, low support” individuals early.
  - Convert them into champions or neutralize risks.
- **Quick Wins & Iterative Delivery**:
  - Agile-style pilots → demonstrate success quickly.
  - Use feedback loops to refine adoption strategies.
- **Change Agents Network**:
  - Identify respected staff in each department.
  - Train them to support peers → peer influence accelerates adoption.

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Change and Business & IT outcomes

- Why is change and outcomes related?
  - IT projects succeed only when **people adopt the change**.
  - Without adoption → business value is never realized (new system unused, shadow IT emerges, money wasted).
  - Effective CM ensures the *investment in technology translates into results*.

- On successful change management, a few business outcomes could be:
  - Higher Productivity: Faster processes, reduced errors, smoother workflows.
  - Customer Satisfaction: Improved service delivery, quicker response times.
  - Employee Engagement: Staff feel supported and involved → reduced turnover.
  - Innovation Readiness: Organization builds resilience for future changes.

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Change and Business & IT outcomes

- On successful change management, a few IT outcomes could be:
  - Adoption Rates: Percentage of users actively engaging with the new system.
  - System Utilization: Depth of features being used vs. basic functions only.
  - Process Compliance: Are new workflows followed, or do people revert to old ways?
  - Governance Alignment: Supports ITIL Change Enablement and compliance standards.

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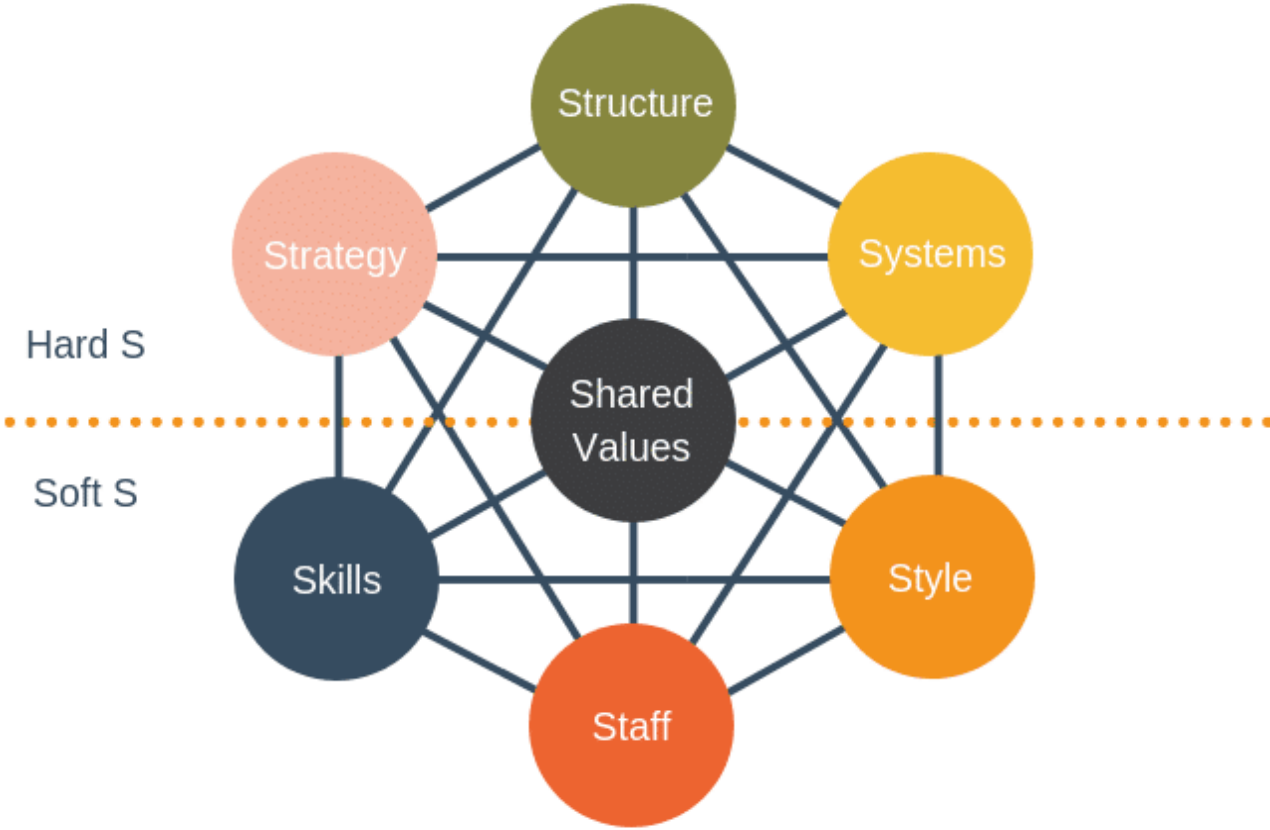
OCM Models and Frameworks



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McKinsey's 7s Model

- Developed by McKinsey consultants in the 1980s.
- It is a holistic framework to analyze and align an organization during change.
- It focuses on **seven interdependent elements**, divided into *hard* and *soft* factors.



(Francis, 2024)

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McKinsey's 7s Model

- Hard S's (easier to identify & manage):
  - **Strategy** → the plan to build competitive advantage.
  - **Structure** → organizational hierarchy, reporting lines.
  - **Systems** → processes, workflows, and IT systems.

- Soft S's (harder to define, but critical for success):
  - **Shared Values** → the organization's core beliefs and culture (the central point).
  - **Skills** → capabilities and competencies of staff.
  - **Style** → leadership style and management approach.
  - **Staff** → people, roles, and talent management.

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McKinsey's 7s Model

- Benefits of this model:
  - Encourages **holistic thinking** (not just focusing on systems or strategy).
  - Identifies **misalignments** that block change (e.g., great strategy but no skills to execute).
  - Useful for diagnosing why change is stalling.
  - Can act as a **checklist** during IT and business transformation.

- When to use it?
  - During **major IT implementations** (ERP (Enterprise Resource Planning), HRMS (Human Resource Management System), CRM (Customer Relationship Management), etc.) to ensure people, processes, and systems align.
  - For **organizational restructuring**.
  - To **assess readiness** for change.
  - To **troubleshoot failing projects** by identifying gaps.

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ADKAR Model

- Focuses on guiding **individuals through change**, step by step.
- The acronym stands for the **five building blocks** of successful change.



(Majka, 2024)

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ADKAR Model – The 5 stages

- A – Awareness
  - People understand *why* the change is happening.
  - “Why this change? Why now?”
- D – Desire
  - Individuals are motivated to support the change.
  - Overcomes resistance by showing personal and organizational benefits.
- K – Knowledge
  - Training and communication provide people with how to change.
  - Skills, tools, and understanding are built.
- A – Ability
  - People apply knowledge and perform in the new way.
  - Requires practice, coaching, and support.
- R – Reinforcement
  - Sustains change through recognition, rewards, and performance tracking.
  - Prevents “slipping back” into old habits.

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ADKAR Model

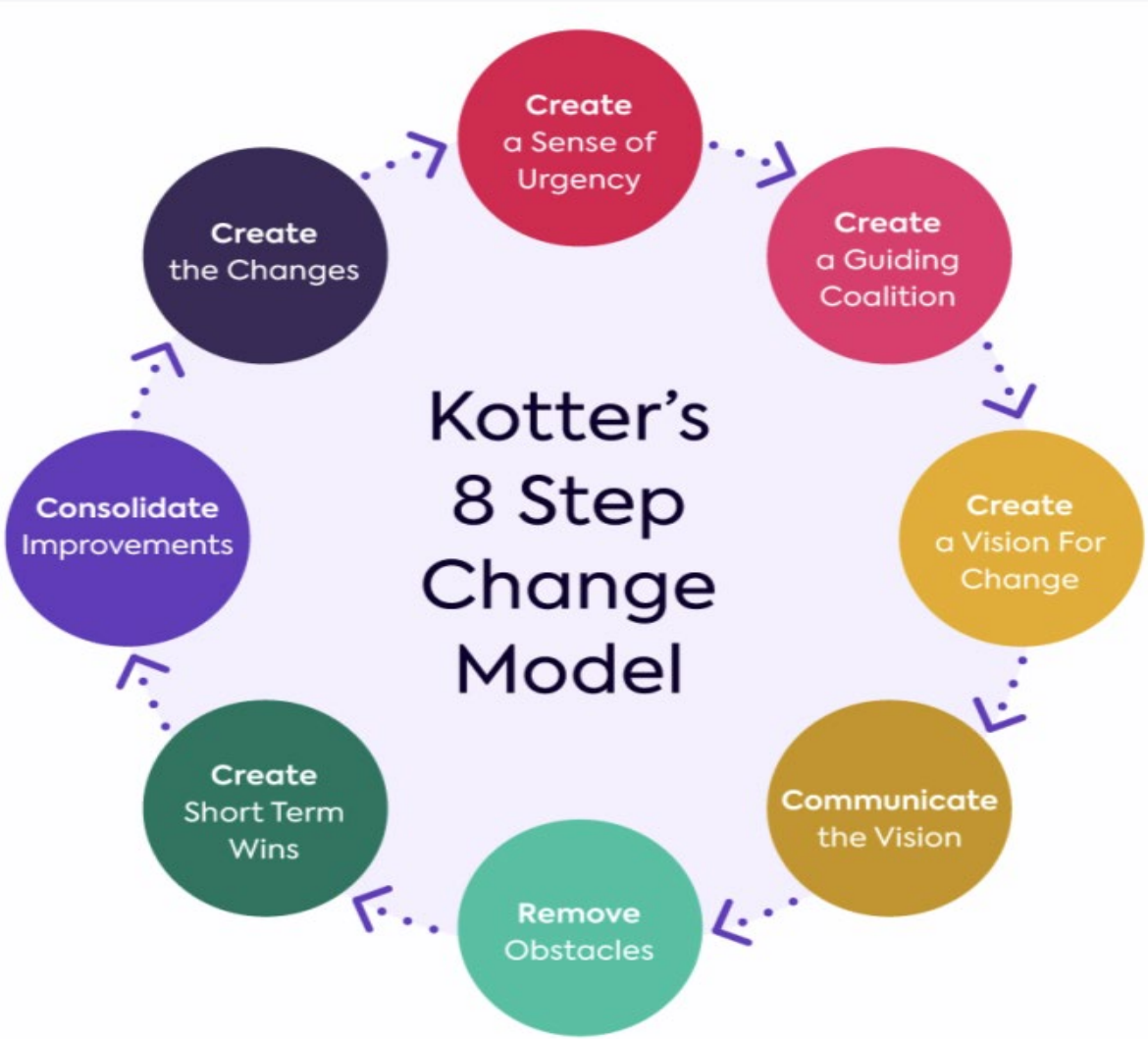
- Benefits of the model
  - **Simple, people-centered framework** (easy to teach and apply).
  - Breaks down change into **manageable, actionable steps**.
  - Highlights that **change happens at the individual level first**.
  - Helps managers **diagnose resistance** (e.g., if adoption is failing, is it Awareness or Ability that's missing?).

- When to use it
  - IT rollouts where **end-user adoption** is key (e.g., CRM, ERP, HRMS).
  - Agile projects requiring **continuous adoption**.
  - Situations with **high resistance** where people need structured support.
  - **Training and enablement programs** linked to IT change.

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Kotter's 8 step change model

- Developed by **John Kotter**, Harvard Business School professor.
- A **top-down approach** to managing organizational change.
- Focuses on creating momentum and embedding change into culture.



(Majka, 2024)

Kotter's 8 step change model – The 8 steps

- **Create a sense of urgency**
  - Show why change is needed now.
  - Example: “Cybersecurity risks demand immediate upgrades.”
- **Build a Guiding Coalition**
  - Form a strong team of leaders and influencers to drive change.

- **Develop a vision and strategy**
  - Provide a clear direction for the change and how it benefits the organization.
- **Communicate the change vision**
  - Share the message widely and consistently.
  - Use multiple channels (emails, town halls, team meetings).

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Kotter's 8 step change model – The 8 steps

- **Empower Employees for action**
  - Remove barriers and provide resources.
  - Example: extra IT training or process simplification.
- **Generate short term wins**
  - Show quick, visible results to keep motivation high.
  - Example: pilot project success before full rollout.
- **Consolidate gains and produce more change**
  - Use early successes to drive further change.
  - Don’t declare victory too soon.
- **Anchor new approaches in the culture**
  - Embed change into policies, processes, and values.
  - Ensure it becomes “the way we do things.”

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Kotter's 8 step change model

- Benefits of the model:
  - Provides a **structured roadmap** for large-scale change.
  - Focuses on **leadership and communication**.
  - Ensures **momentum is sustained** beyond early wins.
  - Particularly strong for **strategic IT transformations**.

- When to use it?
  - Large, organization-wide IT changes (e.g., digital transformation, ERP rollout).
  - When culture change is essential for adoption.
  - In hierarchical organizations where **leadership sponsorship** is critical.

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For you!



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End of Lecture Questions

- What is the difference between **project management** and **change management**? Why do IT projects need both?
- How does **change management contribute to business and IT outcomes**? Give one business outcome and one IT outcome.
- Compare the **McKinsey 7S, ADKAR, and Kotter's 8-step** models. In which scenarios would each be most effective?
- How does OCM support **IT governance and frameworks** such as ITIL Change Enablement?

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Case Study

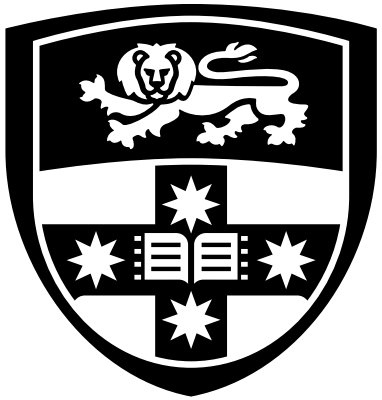
- Alpha Manufacturing is a mid-sized company that decides to implement a new **Enterprise Resource Planning (ERP) system** to integrate finance, supply chain, and HR.
  - The **Project Management team** focuses on budget, schedule, and vendor coordination.
  - The **Change Management team** is tasked with employee adoption and training.
- Challenges emerging:
  - Many employees are skeptical, saying the old systems “work fine.”
  - Line managers feel excluded from decision-making.
  - Training sessions are poorly attended.
  - A pilot rollout showed low adoption: employees continue using spreadsheets.
  - The CIO is under pressure to show ROI within 12 months.

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Case Study based Questions

- At which stage(s) of the change curve do Alpha's employees seem to be?
- What psychological factors might be causing resistance to the ERP system?
- Which change management model (McKinsey 7S, ADKAR, or Kotter's 8-step) would you apply to this situation? Why?
- What 2–3 practical steps could the Change Management team take to increase adoption and reduce resistance?

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